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FX Outlook

"Is this an intervention?"

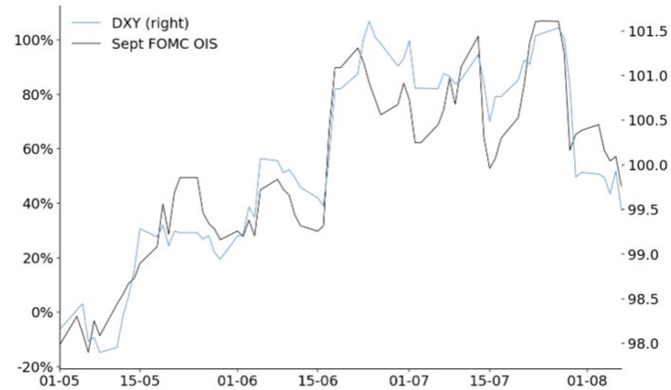
- **We had been long USD since May, but neutralize our recommendation after payrolls. We see narrower ranges for USD based on recent data-flow.**
- **Data dependence still matters; the dollar continues to closely track near-term Fed expectations.**
- **Carry has proven resilient to several headwinds, and after neutralizing USD length, remains the central component of our trading strategy. Resilient growth, a pro-risk backdrop and still-high rate differentials argue against a full replay of August 2024.**
- **Large MoF intervention raises risks of alternatives to faster BoJ hikes. FIMA & GPIF have all moved into focus, following US Treasury intervention. We retain unchanged 164 YE targets for USD/JPY after intervention.**
- **We compare the 2024 & 2026 macro backdrops. Several ingredients behind the 2024 carry unwind remain, including USD downside risk, elevated US yields, and crowded positioning, but no BoJ surprise hike, better growth and lower political vol should limit the degree of high-vol deleveraging.**
- **Next week: RBA, Norges Bank, Riksbank; US CPI; Europe PMIs**

Neutralizing USD length

We neutralize our long-USD recommendation (vs G10 low-yielders) in the wake of this week's US nonfarm payrolls print. We turned long dollars in May on improved US data and participated through the ~100bp rally of real yields as Fed expectations were repriced. Over the last month, however, the dollar has failed to break the range while a mix of factors softened our confidence in the trade: 1) softer data (two consecutive NFPs, inflation data), 2) the latest détente in the US-Iran conflict (ToT), 3) better signs of global growth generally, 4) some evidence of renewed negative sensitivity to the UST long-end (Figure 2, Figure 3) and finally 5) last week's joint US-Japan FX intervention. While we recognize risks around US CPI next week and we retain a mild dollar-bullish bias, we think **it's prudent to neutralize our long-USD stance (vs G10 low-yielders) and instead concentrate risk in the long-carry trade**, which has so far withstood the joint intervention and yen appreciation.

Figure 1: USD continues to track Fed expectations, emphasizing data dependence

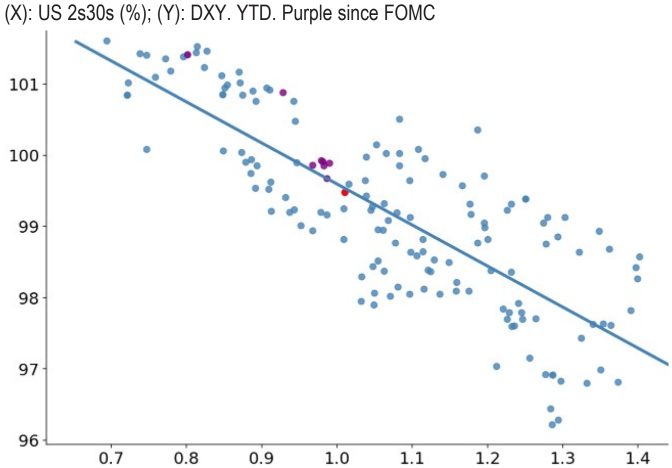
LHS: Priced odds of a Sept FOMC hike; RHS: DXY



Source: J.P. Morgan

Figure 2: USD also remains inversely correlated to curve steepness...

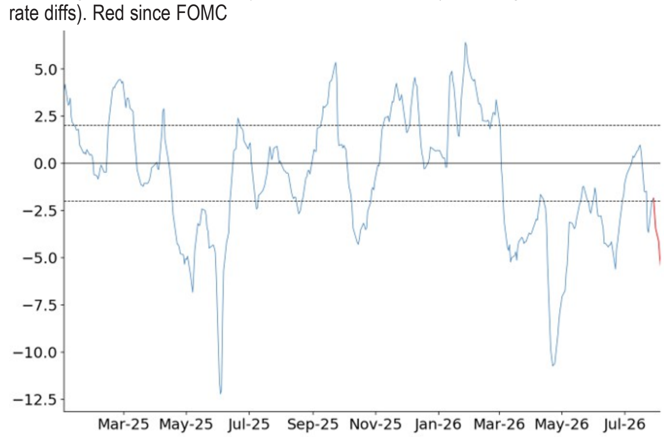
(X): US 2s30s (%); (Y): DXY. YTD. Purple since FOMC



Source: J.P. Morgan

Figure 3: ...reflecting renewed sensitivity to the long-end

1m rolling t-stat: USD sensitivity to 5s30s curve shape (controlling for 2Y US-G10 rate diffs). Red since FOMC



Source: J.P. Morgan

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But data dependence will remain paramount, as Fed expectations are proving to be a solid anchor for USD in the short-term. The lack of forward guidance and some residual concern about the level of inflation should keep rates pricing on its toes throughout 2H. In that respect, it's important to note that DXY has closely tracked pricing of near-term Fed hiking expectations (Figure 3), which for now retains a decent premium still for a hike even after NFP. While we still think it's appropriate to unwind our dollar long recommendation as ranges are likely narrower even with CPI upcoming, the sensitivity of the dollar to Sept FOMC pricing underscores the renewed empirical importance of data dependence.

The latest on JPY, intervention and impacts (or lack thereof) on FX carry

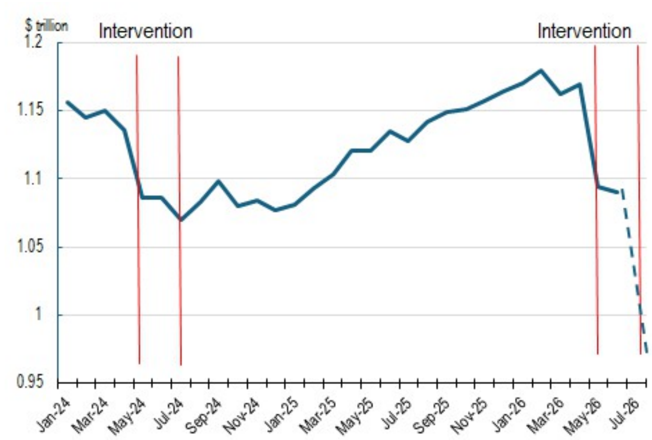
The JPY intervention saga continues to evolve given several wrinkles this time compared to past episodes. Questions continue to revolve around - why UST intervened via EUR instead of USD, how much capacity does MoF have after such large-scale intervention this episode, and what other mechanisms can be deployed to support JPY in the absence of a more obvious hawkish pivot from BoJ. We've covered material ground in other research pieces this week, and synthesize the key takeaways across our geographic teams here:

- Coordinated intervention marks the first US participation in yen-buying operations since 1998 and suggests a **stronger-than-expected willingness by Washington** to support efforts to curb excessive yen weakness. The apparent use of EUR/JPY rather than USD/JPY reinforces the view that the objective was to support Japan's efforts to prevent yen depreciation, not to weaken the dollar. More broadly, the episode underscores that Japanese **authorities view USD/JPY above 160 as excessive, while remaining reluctant to rely on accelerated BoJ rate hikes** as the primary response. We **maintain our 164 year-end target**. See *Unexpectedly strong US-Japan cooperation against weak JPY* (2 August).
- **The Fed's FIMA repo facility** can augment Japan's intervention toolkit, but was not designed for FX intervention and **cannot replace traditional intervention resources**. Unlike ESF or MoF assets, FIMA provides temporary USD financing rather than permanent intervention funding, limiting its effectiveness as a long-term solution. Expanding the facility outside periods of funding stress could also raise **broader policy questions**. See *FIMA & FX intervention* (4 August).
- Japan's cumulative intervention this year has already far exceeded 2024's total, suggesting **traditional intervention tools are becoming increasingly constrained** (Figure 4). Yet the distance to outright Treasury sales or meaningful reliance on FIMA may still be longer than generally assumed, given the MoF's ability to generate cash from maturing reserve assets. Taken together, growing interest in coordinated intervention, FIMA, and GPIF allocation shifts suggests **authorities are searching for alternatives to an accelerated BoJ hiking cycle** (Figure 5) (we've added a hike in our BoJ '27 call), even if none appears likely to materially alter JPY supply-demand dynamics in the near term. See *Next move to stop JPY weakness: Not enough for a sash, much for a belt* (6 August).
- Despite a sharp oil selloff, equity volatility, and the first coordinated yen-buying intervention since 1998, **carry drawdowns remained modest and largely confined to JPY crosses, with little evidence of broader contagion** across the FX cross-section. Unlike August 2024, when carry deleveraging became systemic, high yielders generally held up well and low-yielder repricing remained contained, reinforcing our **constructive view on global carry baskets despite a more volatile macro backdrop**. See *FX Macro Quant: Carry resilient; maintaining a positive bias* (5 August).

The net result for our views is that 1) while joint intervention may temper upside risks to our USD/JPY 164 forecasts, it nevertheless does not fundamentally alter the yen-bear case, and we therefore keep our 164 target; and 2) we retain confidence in the global carry trade despite the vol in a key funder.

Figure 4: Developments in the outstanding amount of "Securities + Deposits" of Japan's FX reserves

Figure for July 2026 is JPM estimation.



Source: Japan Ministry of Finance, J.P. Morgan

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Figure 5: Comparison of tools to curb yen weakness

	MOF intervention	US joint intervention	GPIF	FIMA repo
Immediate availability	○	△	○	?
No need to sell USToutright?	△	–	△	○
Potential ammunition	relatively small	relatively small in EUR/JPY	Up to $190-222bn	$60bn/day
memo		If they decide to move ahead with USD-selling, intervention capacity could increase substantially.	If it involves changing the basic portfolio, intervention capacity could increase.	Ultimately, the USD would need to be repaid.
			Compared with FX intervention, the flows would take longer to materialize, and the impact would be more dispersed over time.	Cost is high

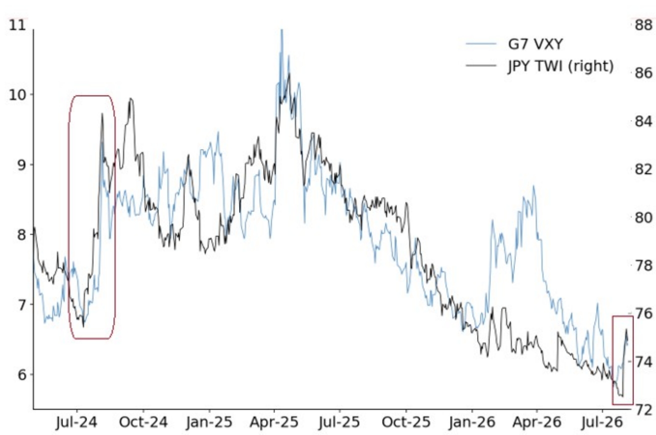
Source: J.P. Morgan, NY Fed

Lessons, similarities and differences vs 2024

Markets have taken recent yen appreciation in their stride, despite the largest intervention yet to date and with bad memories of the fallout from the summer of 2024. With carry en vogue in 2026 and yen intervention coming in surprisingly strong, one might have reasonably expected more of a vol event in FX, sponsored by a deleveraging of the carry trade. Per Figure 6, that has not been the case. Indeed, as noted above and discussed further in this week's *FX Macro Quant*, that carry drawdowns have proven quite modest despite a toxic mix of factors bridging JPY intervention, tech equity drawdowns and oil price softness (see A. Delair, *Carry resilient, maintaining a positive bias*), while the JPY rally has been relatively modest and has not sponsored the same degree of vol spike in the broader FX space as we saw two years ago. For a more tactical quantitative comparison of backdrops around first slugs of JPY intervention, see Figure 7.

Figure 6: Simply in terms of magnitude, the JPY TWI rally has been more modest this time despite greater intervention volume, with limited spillover into broader FX vol

LHS: G7 VXY; RHS JPY TWI



Source: J.P. Morgan

Figure 7: Comparison of cross-asset performance around JPY 2024/2026 interventions. JPY appreciation is so far tracking that of 2024, but with less negative spillover elsewhere

Changes around July 2024 and July 2026 MoF JPY intervention episodes. 3m changes pre-intervention, and 1wk changes post-intervention. Pct chg or diff noted in index. Z-scores shown in parenthesis

	-3m		+1wk	
	2024	2026	2024	2026
Global FRI (Δ)	0.1 (0.3)	0.1 (0.3)	-0.1 (-1.1)	0.1 (0.5)
US FRI (Δ)	-0.1 (-0.2)	-0.0 (-0.2)	0.0 (-0.1)	--
US 2Y (Δ)	-0.35 (-1.0)	0.33 (0.2)	-0.18 (-1.5)	-0.09 (-0.8)
SPX (%)	9.2 (0.9)	2.5 (-0.1)	-0.8 (-0.5)	5.6 (2.4)
MSCI W (%)	6.9 (0.7)	3.0 (0.0)	-0.2 (-0.2)	5.0 (2.3)
BRENT (%)	-6.0 (-0.5)	-23.1 (-1.4)	0.0 (-0.1)	-12.4 (-2.5)
USD TWI (%)	1.4 (0.4)	1.1 (0.3)	-0.6 (-0.9)	-1.1 (-1.7)
DXY (%)	-0.2 (-0.2)	1.9 (0.4)	-1.2 (-1.4)	-1.2 (-1.3)
JPY (%)	-5.3 (-0.7)	-1.8 (-0.0)	3.5 (2.8)	3.6 (2.9)
FX VOL (Δ)	-0.02 (0.0)	-0.54 (-0.4)	0.25 (0.6)	0.21 (0.5)
USD POSITIONING (Δ)	29100 (0.3)	108159 (1.5)	-21126 (-1.4)	--

Source: J.P. Morgan, Bloomberg Finance L.P.

Below, we summarize the similarities and differences in the macro backdrop between 2024 and 2026. **Most actionable insights include: many of the preconditions for the 2024 carry unwind remain in place, particularly a USD downside shock, elevated US yields and crowded positioning**. That said, **the absence of a surprise BoJ tightening shock, a firmer global growth backdrop and less politically-induced volatility suggest the spillovers into broader carry and cross-asset markets should be materially less severe** than in August 2024, even if further JPY appreciation remains possible.

Similarities vs 2024

- **2024 intervention was relatively successful (USD/JPY to 140), and follows a similar playbook of intervening after a significant USD sell-off.** MoF intervention in 2024 is remembered for the tactical selling of USD/JPY on the back of a downside surprise in US CPI (and before the Fed started its easing cycle). While 2026 didn't necessitate quite the same immediacy from the MoF as the CPI date in 2024, they nevertheless intervened just one day after another significant dollar-down event (FOMC), which was a -1.3-sigma loss for DXY, with the USD losing more ground after NFP this week. **In a vacuum, this would suggest some caution in presuming JPY appreciation is over; JPY didn't peak until almost a full month after the initial intervention in 2024.**
- **There was a similar US yield uptrend between 2024 and 2026, both pressuring the yen and supporting the carry trade.** Following the hawkish rethink around the Warsh Fed throughout 2Q, US 2Y yields rallied about 80 points from the lows. 2024 featured a similar such rally, also approximating 80bps in the 2Y sector by mid-year, reflecting another episode of US exceptionalism and

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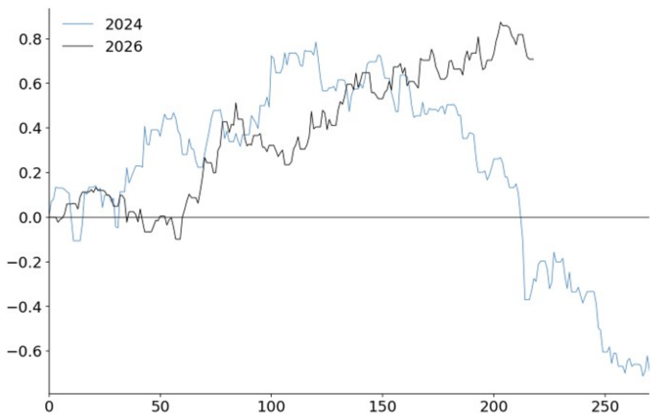
largely unwinding the collapse in yields seen in 4Q'23 (Figure 9). **To the extent carry benefits from higher rates / less Fed easing, this seems material; we remain constructive on carry and US growth remains solid, but a collapse in yields (not the base-case) could exacerbate that trade and force further yen deleveraging.**

Figure 8: US yields actually rose by a similar amount into 2024

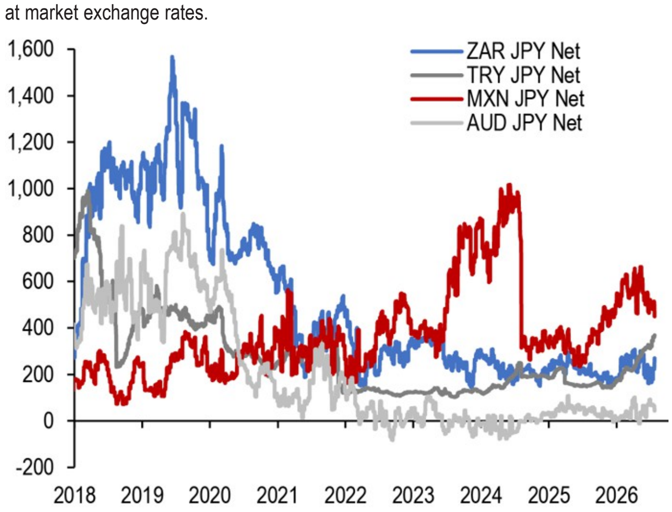
Cumulative YTD US 2Y yield increase (%ppt)



Source: J.P. Morgan

Figure 9: Data from the Tokyo exchange also points to a much cleaner position vs JPY relative to 2024...

Net open interest on FX daily futures contracts in the Tokyo Financial Exchange; net is long minus short contracts, scaled by contract unit size and converted to USDmn at market exchange rates.

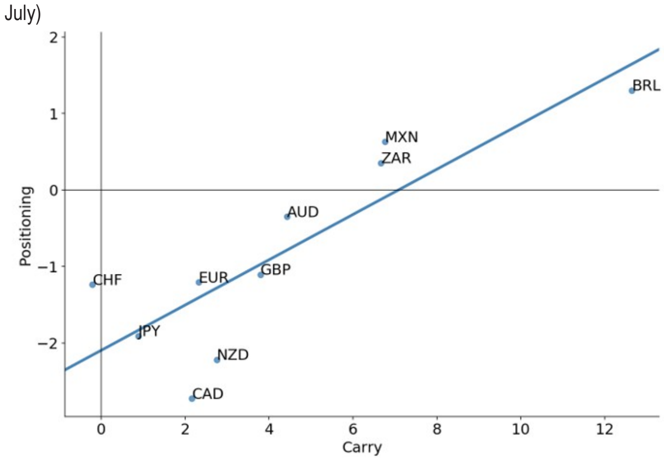


Source: Bloomberg Finance L.P., Tokyo Financial Exchange, J.P. Morgan Latam Local Markets Research

- **Positioning is still one-way.** Positioning is not a perfectly clean analog between 2024 and 2026 episodes, but on net we see more similarities than differences. It's true that some indicators suggest the yen-short trade isn't as entrenched as 2024 (Figure 9), but other metrics like CFTC indicate a similar-sized yen short. Meanwhile, futures also indicate a concentrated carry position pre-intervention/FOMC (Figure 10). As such, **any additional shocks could force a further carry-positioning liquidation**; USD also screened long into both episodes.
- **Intervention is occurring against a generally pro-risk backdrop**: 2024 and 2026 carry performance evolved on the back of positive equity returns, with somewhat similar contours from 2Q-3Q, suggesting potentially similar risk appetite anchors for the carry trade.

Figure 10: ...though carry is still a relatively concentrated position in some corners of the markets

(X): Carry % (Y): Net FX futures positioning (3Y z-score). Pre-intervention (as of 28 July)



Source: J.P. Morgan, CFTC, Bloomberg Finance L.P.

Differences vs 2024

- **2026 doesn't have the same vol shock from a surprise BoJ hike.** Most remember MoF intervention after US CPI (discussed above). But importantly, the BoJ surprised market consensus by hiking not long thereafter, which accelerated the yen carry unwind and amplified the spillover into the cross-asset space (equities) reflecting the surprise nature. By contrast, BoJ chose not to hike last week (within 24hrs of the first intervention). It is also probably worth reminding that the surprise hike came much earlier in the BoJ normalization cycle, and alongside its surprise nature, probably fueled a greater overall financial tightening and deleveraging. **Overall this should help in limiting the collateral damage in 1) G10 FX, 2) the carry trade more broadly and 3) cross-asset vol like that of 2024.**
- **MoF's 2026 FX intervention has already far exceeded 2024 levels, which keeps risks elevated for 'new' sources intervention.** This has the market contemplating more intervention or intervention-like proxies, such as GPIF, and of course has prompted unprecedented US Treasury defense of the yen as well. While past MoF interventions

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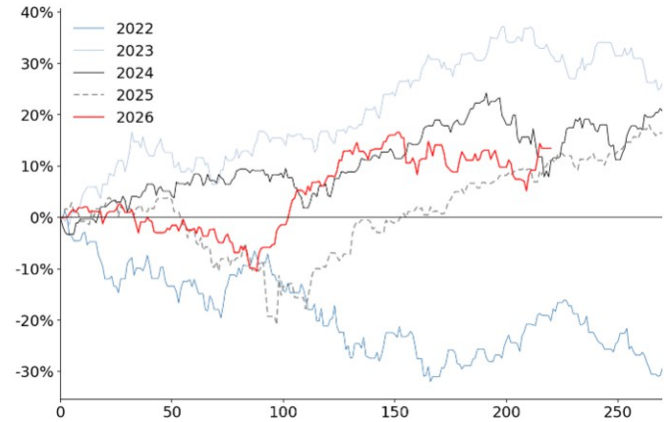
proved fleeting, **questions linger about the duration and additional sources in the current episode.**

- **Politics are relevant in 2026, but not like the shock of 2024.** MXN was a consensus long in 2024, with exceptional carry (policy rate 11% mid-2024, vs 6.5% now). But there was a domestically-induced positioning shock from Claudia Sheinbaum's sweeping win with a congressional supermajority, that paved the way for potential constitutional changes. Thus, the long-side of the carry trade also came under particular pressure. **While BRL politics have jolted FX from time to time this year ahead of October elections, risks from elections through to the FX complex are likely more contained this year.**
- **Global growth backdrop on somewhat better footing in 2026.** Manufacturing PMIs continue to point to a strong global economy overall, with the global PMI tracking above 52 since April. Global PMIs were also mostly above 50 in 2024, but didn't breach 51, and also collapsed in July just as US labor markets were starting to soften. Thus, carry resilience could be attributed in part to stronger global cyclical footing this time around. **This points to more sustained carry resilience in this episode**.
- **ToT shocks are still evolving, and (mostly) a support**. 2026 of course will be remembered for the second great commodity vol shock of this cycle. Realized Brent vol in 2024 was 26%; this year is tracking 66%. We learned that the carry trade could withstand commodity shocks in 2022, anchored by widening dispersion of hiking cycles, but 2026 is also steadying carry returns by virtue of exporters tending to be the higher-yielding on average than lower-yielding peers (eg Asia, Europe). **Still, particularly sharp commodity vol spikes (eg early March) have forced some deleveraging, and so while we think the ongoing tension remains a carry support, flare-ups are still an intermittent tactical risk to the trade**.

Figure 11: Equity returns have tracked a similar contour through 2Q vs 2024

Cumulative YTD US equity (NSDQ) performance



Source: J.P. Morgan, Bloomberg Finance L.P.

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Next week: RBA, Norges Bank, Riksbank; US CPI; Europe PMIs

Next 2 weeks will see **G10 central bank meetings** by the **RBA** (11th, JPM: on hold), **Norges Bank** (13th, JPM: on hold) and **Riksbank** (20th, JPM: on hold). **EM central bank meetings** will take place in **Romania** (10th, JPM: on hold), **Peru** (14th, JPM: on hold) and **Indonesia** (19th, JPM: on hold). Key inflation data will be released in **Norway** (10th), **US** (12th), **Canada** (17th), **UK** (19th), and **Japan** (21st). Labour market data to watch includes **Sweden** (13th), **UK** (18th) and **Australia** (20th). GDP data in **UK** (13th), **Euro area** (14th) and **Japan** (17th), along with PMIs in **Japan**, **Euro area** and **UK** (21st) will shed light on local growth narratives.

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Main trade recommendations

Trade type	Currency	Trade	P/L
Macro portfolio			
Cash (new trades)		—	-
Cash (existing)	**CAD/MXN**	— Sell CAD/MXN	3.60%
	AUD/CHF, USD/CHF, CHF/HUF	— Short CHF vs AUD, USD, HUF	0.27%
Options (new)		—	-
Options (existing)	**NOK/SEK**	— Buy NOK/SEK 3m call spread. K = 1.01/1.03. Spot ref. 1.0004. Cost 52bps.	0.00%
Closed	**EUR/SEK**	— Buy EUR/SEK	1.00%
	AUD/SEK	— Buy AUD/SEK	0.75%
	NZD/USD, USD/CAD, USD/SEK, USD/CHF, EUR/USD	— Buy USD vs basket of DM low yielders (NZD, CAD, SEK, CHF, EUR)	-0.69%
Derivatives portfolio			
RV (new trades)	**USD/MXN**	— Buy delta-hedged 3M USD/MXN ATM/25d 1*2 vega-neutral ratio call spreads	-0.4 vol pts.
RV (existing)	**USD/ZAR**	— Buy 2M in 4M USD/ZAR FVA	-1.3 vol pts.
	EUR/HUF-EUR/SEK	— Buy 3M 2% OTMS EUR puts/HUF calls vs. sell 3M 2% EUR puts/SEK calls	-19.7 bps.
	NZD/USD-EUR/NZD	— Buy 3M NZD/USD vol, financed by selling EUR/NZD vol	-0.3 vol pts.
	USD/CAD	— Buy 3M USD/CAD 1.45 digi call	-9.8%
RV (closed)	**EUR/MXN**	— Buy delta-hedged 3M EUR/MXN ATM/25d 1*2 vega-neutral ratio call spreads	2.7 vol pts.

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